

A low-angle, upward-looking perspective of several modern skyscrapers with glass facades, creating a sense of height and urban density. The sky is a pale, hazy blue.

Tesco Sustainability Leadership: A Strategic Roadmap to Zero-Waste & Carbon Neutrality

STRATEGIC BRIEF

GROUP STRATEGY

Global Benchmarking: Zero-Waste & Circular Economy

85% +20% since 2020

WASTE DIVERSION (AVG.)

78% +35% since 2018

RENEWABLE ENERGY ADOPTION

65% +40% since 2019

CIRCULAR MATERIALS USE

Case Study: Walmart's Project Gigaton

- Strategy: Supplier engagement to reduce 1B tonnes of CO₂ by 2030 (Scope 3)
- Implementation: 2017–2024, 5,900+ suppliers enrolled, \$1B+ in cost savings
- KPIs: 574M tonnes CO₂ avoided (2024), 30% reduction in supplier emissions (vs. 2015)
- Outcome: Doug McMillon (CEO): 'Sustainability drives efficiency and customer trust.'

Case Study: IKEA's Circular Economy

- Strategy: 100% circular/renewable materials by 2030, buy-back/resale programme
- Implementation: 2018–2024, 45M+ products resold, 92% renewable energy in operations
- KPIs: 50% reduction in virgin material use, 1.2M tonnes CO₂ avoided (2024)
- Outcome: Jesper Brodin (CEO): 'Circularity is a competitive advantage, not a cost.'

Case Study: Carrefour's Food Waste Reduction

- Strategy: 50% food waste reduction by 2025, dynamic discounting via AI
- Implementation: 2019–2024, 300M+ meals donated, 100% reusable/recyclable packaging by 2025
- KPIs: 40% food waste reduction (2024), 20% increase in customer loyalty
- Outcome: Alexandre Bompard (CEO): 'Sustainability is a moral and economic imperative.'

Tesco's Competitive Gap Analysis



Lead: Clubcard-driven personalisation (23M households), 65% healthy sales (UK/ROI), 300M meals donated since 2016



Lag: Circular materials use (40% vs. IKEA's 92%), Scope 3 emissions (supplier engagement lags Walmart)



Innovate: AI-driven waste reduction (15% reduction in food waste via dynamic discounting), electric delivery fleet (13% of dotcom vans)

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"CEO Testimonials: Vision & Challenges"

LEADERSHIP INSIGHTS

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Tesco's 5-Year Roadmap to Net Zero



2025: 100% renewable energy (Scope 1 & 2), 50% waste diversion, £200M cost savings via circular economy



2027: 30% CO₂ reduction (vs. 2015), 70% circular materials, 100% electric dotcom fleet



2030: 50% CO₂ reduction (Scope 1 & 2), 90% waste diversion, £500M+ annual cost savings



2035: Net-zero own operations, 100% circular materials, 100% supplier engagement (Scope 3)

Resource Allocation & Risk Mitigation

£1B 2025–2030

RENEWABLE ENERGY
INVESTMENT

£500M 2025–
2030

CIRCULAR ECONOMY
INVESTMENT

£300M by 2027

ELECTRIC FLEET INVESTMENT

Alignment with Tesco's 'Little Helps Plan'



Customers: 65% healthy sales (UK/ROI), 300M meals donated, 100% recyclable packaging by 2025



Communities: Stronger Starts programme (12,200+ projects), Kids Eat Free (300+ cafés)



Planet: Net-zero own operations by 2035, 100% renewable energy by 2025, 50% CO₂ reduction by 2030

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"Tesco's Group CEO Message"

LEADERSHIP

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— RISK MANAGEMENT

Key Risks & Mitigation Strategies



OPERATIONAL LOGIC

FINANCIAL STRATEGY

Financial Impact & Business Outcomes

- Cost Savings: £500M+ annualised by 2030 via circular economy and waste reduction
- Revenue Growth: 15% YoY increase in Finest range sales, 20% growth in retail media (Tesco Media & Insight Platform)
- Customer Loyalty: 28 NPS (vs. 19 in 2024), 84% Clubcard penetration (UK)
- Market Share: 28.3% UK market share (+67bps vs. 2024)

— PERFORMANCE METRICS

Tesco's Sustainability KPIs (2025–2030)

100% by 2025

RENEWABLE ENERGY

50% by 2030

CO₂ REDUCTION

90% by 2030

WASTE DIVERSION

Stakeholder Engagement & Communication



Customers: Clubcard personalisation, Finest range expansion, 300M meals donated



Colleagues: £900M+ in pay increases since 2022, 85% recommend Tesco as a great place to work



Suppliers: Ranked #1 in Advantage supplier survey (9th consecutive year), Sustainable Farming Group



Communities: Stronger Starts programme (12,200+ projects), Kids Eat Free (300+ cafés)

A low-angle, upward-looking perspective of several modern skyscrapers with glass facades, creating a sense of height and urban density. The sky is a pale, overcast blue.

Conclusion: Tesco's Path to Sustainability Leadership

STRATEGIC BRIEF

GROUP STRATEGY